

Payment Integrity Scorecard

Program or Activity

Food and Nutrition Service (FNS) Child and Adult Care Food Program (CACFP) Centers

Reporting Period

Q3 2025

FY 2024 Overpayment Amount (\$M)*

\$156

*Estimate based a sampling time frame starting 2/2017 and ending 1/2018



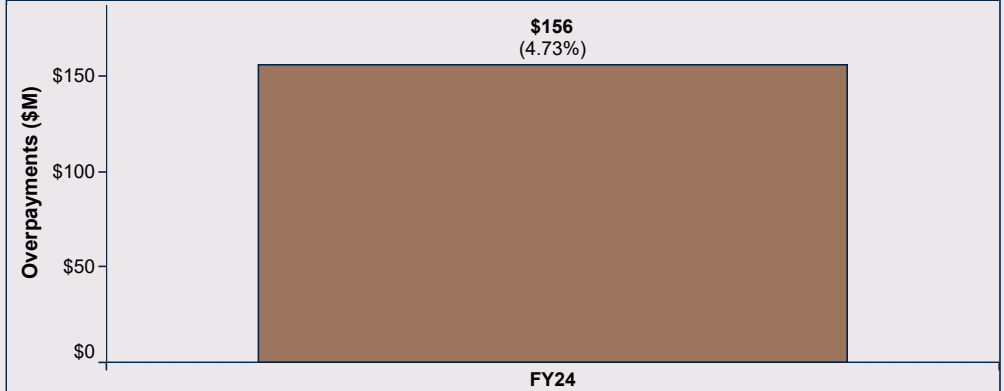
U.S. Department of Agriculture

Food and Nutrition Service (FNS) Child and Adult Care Food Program (CACFP) Centers

Brief Program Description & summary of overpayment causes and barriers to prevention:

USDA's Child and Adult Care Food Program (CACFP) provides federal reimbursement through the states to child care centers and family day care homes (FDCH). Sponsoring organizations are responsible for immediate oversight of providers. The states are responsible for overseeing CACFP sponsors. Centers certify children for program benefits through household applications. FDCHs primarily rely on community measures of poverty to identify eligibility at the facility level. For both programs, sponsor error in eligibility determination ("certification error") is a leading cause of IPs. A significant barrier is the decentralized nature of the program; USDA does not directly confirm individual children or day care home facilities for eligibility.

Historical Payment Rate and Amount (\$M) (Overpayment as Percentage of Total Outlays)



Discussion of Actions Taken in the Preceding Quarter and Actions Planned in the Following Quarter to Prevent Overpayments

In the past quarter, FNS completed the auditing process for compliance with the Payment Integrity Information Act of 2019 (PIIA). The audit involved reviewing published improper payment estimates, sampling and estimation plans, corrective action plans, and reduction targets. In the process, FNS better streamlined its improper payment reporting mechanisms to optimize measuring and documenting procedures. The audit resulted in a finding related to CACFP reporting stemming from inadequate data on meal counting error in Family Daycare Homes. FNS plans to work with the OMB to obtain additional guidance, share prior agency research on meal counting error, and propose possible solutions for determining and reporting CACFP Family Day Care Home meal counting amounts until a methodology for establishing these estimates has been finalized. In the past quarter USDA has also been preparing a special tabulation of Census data for the annual update of its Area Eligibility map. The map is one tool used by sponsors and states to assist when making tiering determinations for family day care homes. Keeping the map up to date and improving user experience advances program integrity by reducing error in these determinations. USDA will publish the updated map at the beginning of the 2026 fiscal year.

Accomplishments in Reducing Overpayment		Date
1	USDA released the results of CACFP Audit Fund requests. These funds may be used for the CACFP portion of larger audits, expenses related to monitoring and compliance reviews conducted by the State agency, and State agency technology expenses.	May-25
2	The fourth Access, Participation, Eligibility and Certification Study collects nationally representative data for improper payments in NSLP/SBP. USDA worked with the study's contractor to produce data on CACFP-aged kids that can be used to inform CACFP IP rate calculations.	Jun-25
3	USDA is progressing on reforming the "serious deficiency" process and developing a companion application for states use to address management problems in the program. This will streamline the process and provide a user-friendly method to facilitate accurate implementation.	Jun-25

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Goals towards Reducing Overpayments		Status	ECD	Recovery Method	Brief Description of Plans to Recover Overpayments	Brief Description of Actions Taken to Recover Overpayments
1	FNS is building on a model it developed with the National Agricultural Statistical Service, which aims to identify error in state administrative data. The model detects outliers in current month submissions by comparing these values to historic trends, to other related variables, and to other states. Future research is focused on how model results can be understood in the context of known fraud cases and how that can inform our analysis of new data and the identification of problematic entries.	On-Track	Sep-25	1	FNS has been granted a waiver for recovery of overpayments due to the nature of the program (i.e., State level administration, where States distribute reimbursements to program operators who submit claims and for monitoring and oversight of the claims submission process)	FNS has been granted a waiver for recovery of overpayments due to the nature of the program (i.e., State level administration, where States distribute reimbursements to program operators who submit claims and for monitoring and oversight of the claims submission process)

Amt(\$)	Root Cause of Overpayment	Root Cause Description	Mitigation Strategy	Brief Description of Mitigation Strategy and Anticipated Impact
\$156M	Overpayments outside the agency control that occurred because of a Failure to Access Data/Information Needed.	Certification in centers relies on accurate reporting by household applicants. In homes, certification relies on use of community poverty data, primarily Census and school enrollment data. Both processes are manual and dependent on thousands of program operators.	Training – teaching a particular skill or type of behavior; refreshing on the proper processing methods.	States monitor the operations of CACFP providers & sponsors in routine records-based and on-site reviews. States provide technical assistance on program operation including certification. USDA reviews state oversight of sponsors and their responsibility in the cert process.